Premium-screen conversions: convert only the best screens

To: Executive team

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Data: 10-year model for one converted screen, based on AMC's and IMAX's fiscal 2025 Form 10-K filings

My recommendation: do not convert regular screens across the whole chain. Only convert auditoriums that are expected to beat the break-even attendance uplift of 115.7%, and negotiate a partner share of 10% of box office or less.

In the base case, a conversion costs $1.39 million and has an NPV of -$0.21 million per screen at a 9.5% discount rate, which is the rate AMC uses for its own U.S. theatre cash flows. The IRR is 6.1% and payback takes 7.5 years. The project only breaks even if attendance on the screen goes up 115.7%, or if the premium surcharge is $6.67 at the base-case uplift.

Scenario	Attendance uplift	Surcharge	Partner share	NPV per screen	IRR	Payback
Base	100%	$5.00	10.0%	-$213,905	6.1%	7.5 years
Upside	150%	$6.50	7.5%	$1,647,821	32.5%	3.0 years
Downside	50%	$3.50	14.7%	-$1,794,151	Not meaningful	Not within 10 years

Why the base case falls short

Studios take 51.2% of ticket revenue (AMC, 2025). The format partner takes its share of the whole screen's box office, including tickets the screen was already selling before the conversion. I also assumed half of the extra customers come from the chain's own regular screens, so only the other half adds new food and drink profit. Food and drink brought in $8.57 of revenue per customer in 2025.

Where it works

In the sensitivity table, NPV turns positive at a 125% uplift when the surcharge is $4.25 or more. At a 150% uplift it is positive for every surcharge from $3.50 to $6.50. These would be the chain's busiest auditoriums. Even the base case already has the converted screen selling 3.3 times the box office of AMC's average U.S. screen. For comparison, IMAX screens average 5.2 times the industry's average domestic screen.

Main risks

- There are no public numbers for attendance uplift or cannibalization. A pilot on a few of the busiest auditoriums should measure both before the chain converts more screens.
- Partner terms: the base case assumes a 10% share, but IMAX's average rate across its revenue-sharing theaters in 2025 was 14.7%.
- A-List subscribers can book premium formats with no extra charge. The model assumes 15% of premium tickets have no surcharge.
- The uplift and the surcharge both depend on enough movies being made for premium formats.
- Construction cost ($500,000 per screen) is an assumption. For equipment I used IMAX's 2025 revenue per new system ($891,257) in every scenario. In a traditional revenue-sharing deal IMAX pays for most of that, so the downside case, which has both the 14.7% share and the full equipment cost, is on the cautious side.

Limitations: the model looks at one screen using AMC's averages. It leaves out ticket fees, on-screen ads, any extra food and drink spending by premium customers, and cash taxes, which AMC's federal net operating losses cover.